

Many retirees place a great deal of importance on preserving the underlying value of their assets so they can support distributions for many years to come. At the same time, current budgetary needs call for the freedom to spend as much as possible at the present. With a long-term perspective, retirees seek to spend as much as they can on a sustainable basis without risking drastic cuts to future budgets.

There are trade-offs between these objectives. Most obviously, spending more today creates risk for future asset preservation and future spending goals. In addition, a lack of flexibility to adjust spending from a volatile portfolio uniquely amplifies sequence risk. With inflexibility to adjust spending, a more conservative spending rate is the primary risk management technique for a total-return investment portfolio.

This spending lever may lead to an unnecessarily low lifestyle in retirement, and it is also not an efficient solution to sustaining spending. In an investments world, even a little discretion to adjust spending can go a long way toward boosting retirement spending. The idea is to start with a higher withdrawal rate, with the idea in mind to reduce spending if needed at some future point. Flexibility with spending allows for a higher initial spending rate.

How exactly should retirees adjust their spending in response to changes in the value of their retirement portfolios? Countless variations on spending rules are discussed everywhere from research papers to Internet discussion boards. I want to bring clarity to the discussion by identifying and classifying key variable spending strategies, and developing simple metrics to evaluate and compare the strategies on an equal basis. The goal is to assist in the process of figuring out which sort of variable spending strategy will be most appropriate for your personal situation.

When comparing different spending strategies, there are a number of useful metrics to consider. Of primary importance is the range of spending outcomes over time and the value of remaining wealth at the end of the planning horizon. For these aspects, strategies will be calibrated to have comparable downside risk using the PAY Rule described below. It is also important to consider the direction of spending over retirement: Does a strategy tend to keep spending level? Does spending start *high* and decrease over time? Does spending start *low* and increase over time? The final consideration is the degree of spending volatility created by a strategy. How much does spending change on a year-to-